EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as the predominant art of healing during those times and from the native word "PIA" which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 22,463 and based on the statistics of the last election, a total of 11,317 are registered voters.

For CY2014, the Municipality of Piat had a total of 128 personnel complement with 68 permanent, 11 elective, 1 temporary, 2 co-terminus, 2 casual and 44 on job order status.

b. Scope of Audit

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year ended December 31, 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase (Decrease)
Financial Position			
Total Assets	₱144,508,179.14	₱ 132,374,586.37	₱12,133,592.77
Total Liabilities	42,332,235.64	35,905,867.40	6,426,368.24
Total Government Equity	102,175,943.50	96,468,718.97	5,707,224.53
Financial Performance			
Total Income(Includes Subsidy from Other Funds)	67,754,704.06	60,570,367.53	7,184,336.53

Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	57,896,639.79	68,148,895.80	(10,252,256.01)
Appropriations, Allotments and Obligations			
Total Appropriations-Current	67,991,372.00	76,553,878.00	(8,562,506.00)
Total Obligations	56,133,076.71	67,670,239.71	(11,537,163.00)
Appropriations-Continuing	23,361,451.34	25,035,241.20	(1,673,789.86)
Obligations-Continuing	1,373,057.35	7,158,510.07	(5,785,452.72)

During the CY2014, the Municipality of Piat made no fund transfer to any government agency. However, the Municipality received a total of ₱9,391,960.05 from other government agencies, as follows:

	2014	**2013**	**Increase/ (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	₱9,077,900.05	₱2,600,956.00	**₱ 6,476,944.05**
Local Government Units	140,000.00	5,300,000.00	**(5,160,000.00)**
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	174,060.00		**174,060.00**
Total	**₱9,391,960.05**	**₱7,900,956.00**	**₱1,491,004.05**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	-	-	-

3. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2014 due to the following:

a. Inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling ₱55,992,629.74. Had adequate accounting and property records been prepared and maintained, the

reliability of the recorded PPE as presented in the financial statements could have been corroborated and established.

b. Lack of certified list and/or subsidiary ledger of taxpayers to support the recorded balance of Real Property Tax (RPT)/Special Education Tax (SET) Receivables totaling ₱23,923,471.44 at year-end. Also, the application of Cash Basis method instead of the Modified Accrual basis in accounting RPT Income is inconsistent with the Manual on the New Government Accounting System for LGUs. Had these balances been set up consistent with the Manual, the accuracy of RPT and SET Receivables and the corresponding income could have been established.

c. Difference in Cash in Vault account totaling ₱2,274,612.20 in the General Ledger balance versus the Cash Book balance due to continued failure to reconcile both records. Had adjustments been made to reconcile the records, the reliability of the recorded Cash in Vault account could have been relied on.

d. Unreconciled difference of ₱991,265.17 between the Cash in book and bank balances due to the continued failure to prepare Bank Reconciliation Statements. Had adjustments been made to reconcile the balances, the Cash account could have been properly presented in the books at year-end.

4. Significant Observations and Recommendations

a. Unliquidated cash advances to Officers and Employees accumulated to P1,897,893.30 due to Management's failure to strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances.

Direct the concerned officers and employees to immediately settle their unliquidated cash advances. The Municipal Accountant should issue a certification that the previous cash advance has been liquidated and accounted for in the books before granting additional cash advances.

b. The Notices of Disallowance representing payment of Productivity Enhancement Incentive (PEI) to officers and employees and job order personnel totaling P1,368,700.00 remained unsettled as of December 31, 2014 due to failure of management to issue demand letters to settle the same.

Enforce immediate settlement of the disallowed PEI.

c. Overpayment of ₱260,758.00 for honoraria made to members of the Bids and Awards Committee and improper charging of the same against Other Maintenance and Other Operating Expenses (MOOE) due to Management's failure to strictly observe the rules on payment of honoraria to personnel involved in procurement.

Strictly adhere to the rules and regulations on the payment of honoraria to personnel involved in procurement. Accordingly, concerned BAC members should refund the excess honoraria paid to them.

d. Unauthorized deposits totaling ₱7,202,960.54 is maintained with a privately-owned commercial bank even without the prior approval of the Department of Finance (DOF).

Secure DOF approval to maintain its accounts with the Philippines National Bank, Tuao Branch, Tuao, Cagayan. Require PNB to provide copy of the authority granted by the Bangko Sentral ng Pilipinas to accept government deposits.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱356,531.25	-	-	₱356,531.25	0%
Current Year	-	-	-	-	-
Total	₱356,531.25	-	-	₱356,531.25	0%
Disallowances					
Prior Years	₱1,368,700.00	-	₱1,368,700.00	₱1,368,700.00	0%
Current Year	-	-	-	-	
Total	₱1,368,700.00	-	₱1,368,700.00	₱1,368,700.00	0%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 23 audit recommendations in the 2013 Annual Audit Report, four were implemented, five were partially implemented and 14 were not implemented.